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GNIOT Institute of Management Studies – PGDM (Batch 2022-24)

(TRIMESTER – I) END TERM EXAMINATION, SEPTEMBER - 2022

Financial Accounting

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Attempt all parts of the following:**(10×3=30)**

- (a) “A Trial Balance is merely a proof of arithmetic accuracy.” Comment
- (b) Trade discount & cash discount, both are not part of financial accounting.” Comment
- (c) As per consistency principle, accounting policies once chosen cannot be changed. Do you agree?
- (d) ‘The balance sheet represents the financial position of an enterprise on a particular date’. Explain.
- (e) ‘Depreciation is a non-cash expense’. Explain.
- (f) Briefly explain the difference between Capital & Revenue expenses.
- (g) What is Insolvency Ratio?
- (h) Explain the term Deferred Revenue Expense with the help of an example.
- (i) High current ratio may also indicate lower efficiency in asset utilization. Do you agree
- (j) Briefly explain permanent and temporary working capital with the help of a diagram.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:**(4×10=40)****Q.2. (a)** Record journal entries in the books of Devi’s company for the following transactions:

- (i) Salary payable to the manager for December 2008, ₹ 2000
- (ii) Goods worth ₹ 2000 damaged in transit. Insurance company accepted the full claim.
- (iii) From Suresh ₹ 30,000 was due and he became insolvent and from his estate 50% is recovered.
- (iv) ₹ 1000 bad debts were written off during the last year and were received during the current year from Raman.
- (v) Purchased goods worth ₹ 20,000 less 20% trade discount and 5% cash discount from Mahajan.

OR**(b)** Show the effect of the above given entries on the accounting equation.**Q.3. (a)** Record the following transactions in the Three- columnar Cash Book**2021**

- Jan 01 Balances; Cash Rs 500, and Bank (Cr) Rs 12,000
- Jan 02 Investment additional capital of ₹ 12,000
- Jan 05 Deposited ₹ 8,000 in the bank
- Jan 08 Received from Roy ₹ 890, allowed him discount of ₹ 5
- Jan 12 Paid ₹ 1,200 to Ghosh who allowed him discount of ₹ 30
- Jan 15. Bought merchandise for cash ₹ 700
- Jan 17 Sold merchandise for cash ₹ 1,000
- Jan 18 Purchased furniture by cheque ₹ 1,500
- Jan 19 Received a crossed cheque of ₹230 from Sundram in full settlement of the debt of ₹ 240
- Jan 22 Paid Commission ₹150 by cheque.

Jan 25 Withdrew for personal use of ₹300
 Jan 26 Paid to Krishnan ₹ 700 by cheque; discount received ₹ 20
 Jan 27 Withdrew for personal use ₹ 300
 Jan 29 Received dividend by an order cheque of ₹30, deposited in the bank on the same day
 Jan 30 Cleared telephone bill ₹ 50
 Jan 31 Paid manager salary ₹ 350, rent ₹ 200, and wages ₹ 150.

OR

- (b) Ascertain the impact of the following transactions on the profit and loss statement for the financial year 2016-17:
- The company borrowed ₹ 100 crore from SBI at the rate of 12% per annum on July 1, 2016. The interest is payable quarterly on the first day of October, January, April and July respectively. The interest due on 1st October 2016 was duly paid but the interest due on 1st January 2017 has not been paid till date of the balance sheet.
 - Paid towards salaries to employee's ₹ 60.30 million. It includes a sum of ₹ 4.85 million as advance to employees against salary.
 - Goods bought during the year 2015-16 amounting to ₹ 12.23 million were actually paid for in the year 2016-17.
 - Interest payment of ₹ 50,000 for the home loan taken by the owner paid during the year 2016-17, not shown in the profit and loss statement.

Q.4. (a) The excerpts from the profit and loss account of MG Retails Limited for the last two years are given as follows:

<u>Particulars</u>	<u>(₹ in Million)</u>	
	<u>2016</u>	<u>2017</u>
Sales	230	440
Cost of goods sold	135	280
Other Operating expenses	26	35
Depreciation	15	20
Interest	25	40
Profit before tax	29	65
Tax	9	20
Profit after tax	20	45

You are required to:

- Calculate the year -on- growth of sales and net profit.
- The growth of profits has exceeded the growth sales. Identify the reasons by using suitable profitability and expense ratio.

OR

- (b) From the following given information classify the items into operating, financing and investing activities of Cash flow statement and justify your answer with suitable reason.
- Acquisition of plant and equipment
 - Payment of long- term debt
 - Proceeds from sale of plant assets
 - Increase in Account Payable
 - Proceeds from issuance of long term debt
 - Depreciation
 - Payment of dividends
 - Decrease in inventory
 - Increase in Prepaid Expenses
 - Loan to another company

Q.5. (a) Operating Cycle of the firm and working capital requirements are directly related? Comment on the statement with the help of the other factors that determine working capital requirements.

OR

(b) The following are the financial statements of XYZ Ltd. for the year 2019-20
Balance Sheet

Liabilities	₹	Assets	₹
10,000 Equity shares of ₹ 10 each	1,00,000	Fixed Assets	2,50,000
General Reserve	50,000	Stock	60,000
Profit & loss Account	1,00,000	Debtors	40,000
8% Debentures	80,000	Prepaid Expenses	20,000
Sundry Creditors	50,000	Cash & bank	30,000
Proposed Dividends	20,000		
	4,00,000		4,00,000

Profit & Loss Account for the year

	31st March 2020
Sales	1,50,000
-Cost of Goods Sold	1,00,000
Gross profit	50,000
-Expenses	25,000
Net Profit	25,000

Calculate:

- Current Ratio
- Quick ratio
- Gross Profit Ratio
- Net Profit Ratio
- Earning Per share

SECTION-C

Q.6. Attempt all parts of the following:

(2×15=30)

6(a) On April 30, 2012, the German sportswear giant Adidas announced that “commercial irregularities” ‘at its Reebok India operations could impact its past consolidated results to a pre-tax minimum of ₹ 8.7 billion and restructuring costs associated with changes being brought in by the new management “including changes to commercial business practices” could lead to an additional one-off charge of 70 million. Adidas made a fourth quarter operating loss of ₹ 239 million, compared with analyst expectations for profit of 28.6 million. The announcement followed the sudden and unexplained departure in the previous week of two of Adidas India’s top executives, the managing director, Subhninder Singh Prem, and the chief operating officer, Vishnu Bhagat. On May 21, the company filed a criminal complaint against the two, alleging the receipts were falsified, Reebok merchandise was siphoned off, Adidas- owned goods were hidden in four different warehouses and goods were sent to non-existent distributors. On May 29, the government asked the Serious Fraud Investigation Office to investigate the matter. Prem and four others were arrested on September 19, 2012.

The Adidas brand ranks fourth world wide, but in India, it is the market leader. This became possible mainly because of the company’s wide distribution network of over 1,000 stores. The “India growth story” played no mean part in the company’s aggressive expansion. “Establish the brand now in a rapidly growing market and money will come later” seemed to be the belief. A key element of the company’s business strategy was a “minimum guarantee”, a promise of a minimum income to a franchise regardless of the sales. Prem

reasoned that this was necessary to encourage shop owners to stock a brand. In contrast to Reebok India's practice, global sports goods companies sell to wholesalers, who take responsibility for selling the goods. If the products sell, the wholesalers make money but the risks of not selling the goods are also theirs. A major risk in the "minimum guarantee" model is that the franchisees may put in their best efforts, since they were assured of a minimum income. The effect was that the profitable stores were subsidizing the loss-making ones.

In 2005, Adidas acquired Reebok for \$3.8 billion, but the two businesses continued to operate as separate entities. Reebok continued to focus on growth and market share and was more aggressive. In contrast, Adidas operated in a more disciplined manner, even while continuing to use the minimum guarantee approach. In late 2010, the company decided to withdraw from the minimum guarantee model and close the loss-making stores. It became known later that a third of 1,000 outlets in India would likely be shut. Reebok's revenue was Rs 7.72 billion in 2009 and Rs 7.83 billion in 2010. It made a profit of Rs 128 million in 2009 and a loss of Rs 401 million in 2010. Suspecting that all was not well as its Indian unit, Adidas asked KPMG to conduct a forensic audit of its books.

1. Describe what happened in Reebok India. (7.5 Marks)

2. Examine what can be the other possible reasons for the happenings. (7.5 Marks)

6(b) On 31st December 2021, the following Trial Balance was extracted from the books of a merchant: (15 Marks)

Particulars	Rs	Rs
Capital		1,60,000
Drawings	25,000	
Sundry Debtors and Creditors	20,000	40,000
Plant & Machinery	70,000	
Loan on Mortgage @ 10%		90,000
Interest on Loan	1,500	
Cash in hand	20,000	
Stock (1-1-2021)	16,800	
Motor Vehicles	30,000	
Cash at Bank	13,500	
Land and Buildings	1,15,000	
Bad Debts	2,200	
Purchases and Sales	75,000	2,10,000
Purchases and Sales Return	8,000	1,500
Carriage Outwards	3,500	
Carriage Inwards	13,000	
Salaries	12,000	
Rent, Taxes and Insurance	5,000	
Advertising	5,500	
Discount		500
General Expenses	6,000	
B/R and B/P	6,000	12,000
Rent Received		3,000
	<u>4,48,000</u>	<u>4,48,000</u>

Prepare Trading and Profit and Loss Account for the year ended on 31st December, 2021 and Balance Sheet as at on that date after making adjustment for the following:

1. Depreciate Land and Building at 2%, Motor Vehicles at 20% and Plant & Machinery at 10%
2. Salaries outstanding Rs 1,000
3. Prepaid Insurance Rs 500
4. Bad debts Rs 500 and Provision for Bad Debts is to be maintained at 5% on Sundry Debtors.
5. Stock in hand on 31st Dec, 2007 was valued at Rs 20,000